higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE (VOCATIONAL)

APPLIED ACCOUNTING
(First Paper)

NQF LEVEL 4

28 NOVEMBER 2019

This marking guideline consists of 12 pages.

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SECTION A

QUESTION 1

1.1 1.1.1 C
1.1.2 D
1.1.3 C
1.1.4 B
1.1.5 C

(5 × 1) (5)

1.2 1.2.1 (a)

Description	Workings	Total
Men's over 40		
+Men's junior	(12 000✓+ 4 000✓) × 100/160✓	R10 000
Ladies' over 35		
+Ladies' junior	(5 000✓ + 3 500✓) × 100/125✓	R6 800
Total cost of sales		**R16 800**

(6)

(b) R24 500✓ – R16 800☑ = R7 700 (2)

(c)

Other Income	Amount
Donations	✓R23 800
Income from stalls (R1 500✓ × 15✓)	R22 500
Total income	**R46 300**

(3)

(d) R7 700☑ + R46 300 ✓ = R54 000 (2)

(e)

EXPENSE	AMOUNT
Rent (R2 000✓ × 3 days✓)	R6 000
Cleaners (R600✓ × 4 days✓)	R2 400
Refreshments	✓R3 200
Other expenses	✓R6 600
Total expenses	**R18 200**

(6)

(f) R54 000☑ – R18 200 ☑ = R35 800 ☑ (3)

1.2.2 Profit and loss account (1)

1.2.3 To determine the financial position of the business OR to show whether the business is making a profit or a loss (2)

[30]

QUESTION 2

2.1 2.1.1 R26 500✓ – R2 640✓
= R23 860 (2)

2.1.2 R23 500/10
= R2 350
= R23 500✓ + (R2 350✓ × 2✓)
= R28 200 (3)

2.1.3 Net loss before adjustments (R15 870) ✓
Less: Rates and taxes (R4 700) ☑
Net loss after adjustments (R20 570) (2)

2.1.4 DR: Capital✓
CR: Profit and Loss✓
Only mark the debit and credit entries and NOT the amounts to avoid students' being penalised twice (2)

2.1.5 Trade and other creditors (1)

2.1.6 **TRADE AND OTHER CREDITORS**

Creditors' control	✓R36 800
Add: Accrued expense (R1 800✓ + R4 700☑)	R6 500
Add: Income received in advance	✓R2 020
	R45 320

(4)

2.1.7 Assets: +1 450✓
Owner's equity: +1 450✓
Liabilities: 0 (2)

2.1.8 R6 800✓ + R2 640✓
= R9 440 (2)

2.1.9 **CAPITAL**

Capital	✓R200 000
Add: Additional contribution	✓R50 000
Less: Net loss	☑ R20 570
Less: Drawings	☑R9 440
	R219 990

(4)

2.2 2.2.1

TOTAL CURRENT ASSETS

Inventory	✓R26 500
Add: Trade and other debtors	✓R14 700
Add: Cash and cash equivalents (R710✓ + R440✓)	R1 150
	R42 350

(4)

2.2.2 Total assets = Total equity and liabilities – current assets
R220 000✓ – R42 350☑
= R177 650 (2)

2.2.3 Total liabilities = Total equity and liabilities – capital
R220 000✓ – R70 000✓
= R150 000 (2)
[30]

TOTAL SECTION A: 60

SECTION B

QUESTION 3

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GENERAL JOURNAL OF PHINDIES DANCE ACADEMY – 30 SEPTEMBER 201

No:	Details	Debit	Credit	Debtors' control		Cre
				Debit	Credit	Debi
1	Bank✓	60 000✓				
	Capital✓		60 000			
2	Interest on loan✓	✓936				
	Accrued expense✓		936			
3.1	Trading stock deficit✓	✓1 500				
	Trading stock ✓		1 500			
3.2	Consumable stores on hand✓	✓600				
	Packing material✓		600			
4.1	Bank✓	✓520				
	Debtors' control (N. Koekemoor)✓		520		✓520	
4.2	Bad debts✓	2 080				
	Debtors' control (N. Koekemoor)✓		2 080		✓2 080	
5	Provision for bad debts✓	✓3 017				
	Provision for bad debts adjustment✓		3 017			

Day	Details	Debit	Credit	Debtors' Control		
				Debit	Credit	
6	Staff training✓	✓20 000				
	Bank✓		20 000			
7	Bank✓	✓1 500				
	Staff training refund✓		1 500			
8.1	Depreciation✓	✓9 032				
	Accumulated depreciation on equipment✓		9 032			
8.2	Depreciation✓	✓23 916				
	Accumulated depreciation on vehicles✓		23 916			
	OR					
	Depreciation✓	✓32 948				

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	Accumulated depreciation on equipment✓		✓9 032			
	Accumulated depreciation on vehicles✓		✓23 916			
9	Cleaning✓	✓2 500				
	Advertising✓		2 500			
10	Salaries and wages✓	✓10 000				
	Accrued expense✓		10 000			

NOTE: Where ONE mark is allocated, the ENTIRE LINE entry must be correct (that is the description and the a

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QUESTION 4

GENERAL LEDGER OF SUNRISE FRUITERERS

DR CR

CAPITAL B1

30 June 2018	Drawings	GJ	✓ 18 700	01 July 2017	Balance	b/d	✓ 220 000
30 June 2018	Balance	c/d	✓ 325 457		Profit and loss	GJ	☑124 157
			344 157				344 157
							(4)

COST OF SALES N2

30 June 2018	Trading stock	GJ	✓ 123 900	30 June 2018	Trading account	GJ	✓ 123 900
							(2)

COMMISSION RECEIVED N6

30 June 2018	Income received in advance	GJ	✓ 6 905	30 June 2018	Total	c/f	49 405✓
30 June 2018	Profit and loss ✓	GJ	✓ 42 500				
			49 405				49 405
							(4)

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GENERAL LEDGER OF SUNRISE FRUITERERS

DR **TRADING ACCOUNT** CR

30 June 2018	Cost of sales	GJ	✓123 900	30 June 2018	Sales (345 253✓ – 4 000✓)	GJ	341 253
30 June 2018	Profit and loss ✓	GJ	✓217 353				
			341 253				341 253
							(5)

PROFIT AND LOSS ACCOUNT							
30 June 2018	Accounting fees	GJ	✓18 900	30 June 2018	Trading account✓	GJ	☑217 353
	Bad debts	GJ	✓ 3 650		Commission received	GJ	✓42 500
	Computer expenses	GJ	✓ 9 605		Interest on fixed deposit	GJ	✓16 001
	Depreciation	GJ	✓ 18 650				
	Electricity and water	GJ	✓ 26 590				
	Legal costs	GJ	✓ 11 250				
	Packing material	GJ	✓ 6 390				
	Trading stock deficit	GJ	✓ 440				
	Wages	GJ	✓ 56 222				
	Capital ✓	GJ	☑ 124 157				
			275 854				275 854
							(15)

[30]

NOTE: For ALL accounts:
Where ONE mark is allocated, the ENTIRE LINE entry must be correct (that is the description and the amount) to allocate ONE mark.

QUESTION 5

5.1 **INCOME STATEMENT OF THE ICE CREAM PARLOUR FOR THE YEAR ENDED 31 DECEMBER 2018**

Sales (606 190 – 6 988)✓			599 202
Less: Cost of Sales			✓236 988
Gross profit			362 214
Plus: Other Income			48 400
Rent income (52 800✓ – 4 400✓)		48 400	
Gross income			410 614
Less: Other expenses			198 354
Bad debts (2 366✓ + 300✓)		2 666	
Computer expenses		✓6 540	
Insurance		✓13 555	
Postage		✓986	
Printing and stationery (1 999✓ – 299✓)		1 700	
Rates and taxes		✓15 488	
Property tax		✓66 000	
Repairs to machinery (3 900✓ – 300✓)		3 600	
Salaries and wages		✓45 697	
Telephone		✓6 477	
Water and electricity		✓17 888	
Trading stock deficit (56 904 ✓ – 56 000✓)		904	
Provision for bad debts adjustment		✓2 275	
Depreciation (5 608✓ + 8 970 ✓)		14 578	
NET PROFIT BEFORE INTEREST			212 260
Add: Interest received (8 555✓ + 2 695✓)		11 250	
NET PROFIT AFTER INTEREST			**223 510**

(26)

5.2 **BALANCE SHEET OF THE ICE CREAM PARLOUR AS AT 31 DECEMBER 2018**

ASSETS	**Note**		
Noncurrent assets			372 454
Property, equipment and vehicles	1	☑247 454	
Fixed deposit: Minnie Bank (10%)		✓125 000	
Current assets			103 474
Stock (56 000 + 299)		✓ 56 299	
Trade and other debtors/receivables	2	☑46 225	
Cash and cash equivalents (450✓ + 500✓)		950	
TOTAL ASSETS			475 928
EQUITY AND LIABILITIES			
Owner's equity			398 510
Capital	3	☑ 398 510	
Noncurrent liabilities			0
Loan		0	
Current liabilities			77 418
Bank overdraft		✓26 050	
Trade and other creditors (46 968✓ + 4 400 ✓)		51 368	
TOTAL EQUITY AND LIABILITIES			475 928

(10)

NOTES TO BALANCE SHEET

1. Noncurrent assets:	Cost price	Accumulated depreciation	Net carrying amount
Land and buildings	150 000	-	☑150 000
Equipment	✓56 080	✓(18 656)	☑37 424
Vehicles	✓105 000	✓(44 970)	☑60 030
	311 080	(63 626)	247 454

(7)

2. Trade and other receivables		46 225
Debtors' control (45 805✓– 300✓)	45 505	
Less: Provision for bad debts	☑ (2 275)	
Add: Prepaid expenses (repairs to machinery)	☑300	
Add: Accrued income (interest on fixed deposit)	☑2 695	

(4)

3. Capital		398 510

[50]

QUESTION 6

No	GENERAL LEDGER		Assets	Owner's equity	Liabilities	
	Account Debit	Account Credit				
E.g.	*Telephone*	*Bank*	*- 1 356*	*- 1 356*	*0*	
6.1	Trading stock✓	Creditors' control✓	+ 20 000✓	0	+ 20 000✓	(4)
6.2	Drawings✓	Trading stock✓	- 4 400✓	- 4 400✓	0	(4)
6.3.1	Bank✓	Rent expense✓	+ 5 000✓	+5 000✓	0	(4)
6.3.2	Bank✓	Rent received✓	+ 5 000✓	+5 000✓	0	(4)
6.4	Interest received✓	Commission received✓	0	+ 3 500✓ - 3 500✓	0	(4)

[20]

TOTAL SECTION B: 140
GRAND TOTAL: 200

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